

Marketing: Session 3

Company strategy over time as segments evolve

Material adapted from Inside the Tornado; Scaling Silicon Valley Style: Growing Big But Not Corporate; Scaling Up: How a Few Companies Make It ... and Why the Rest Don't

The story so far

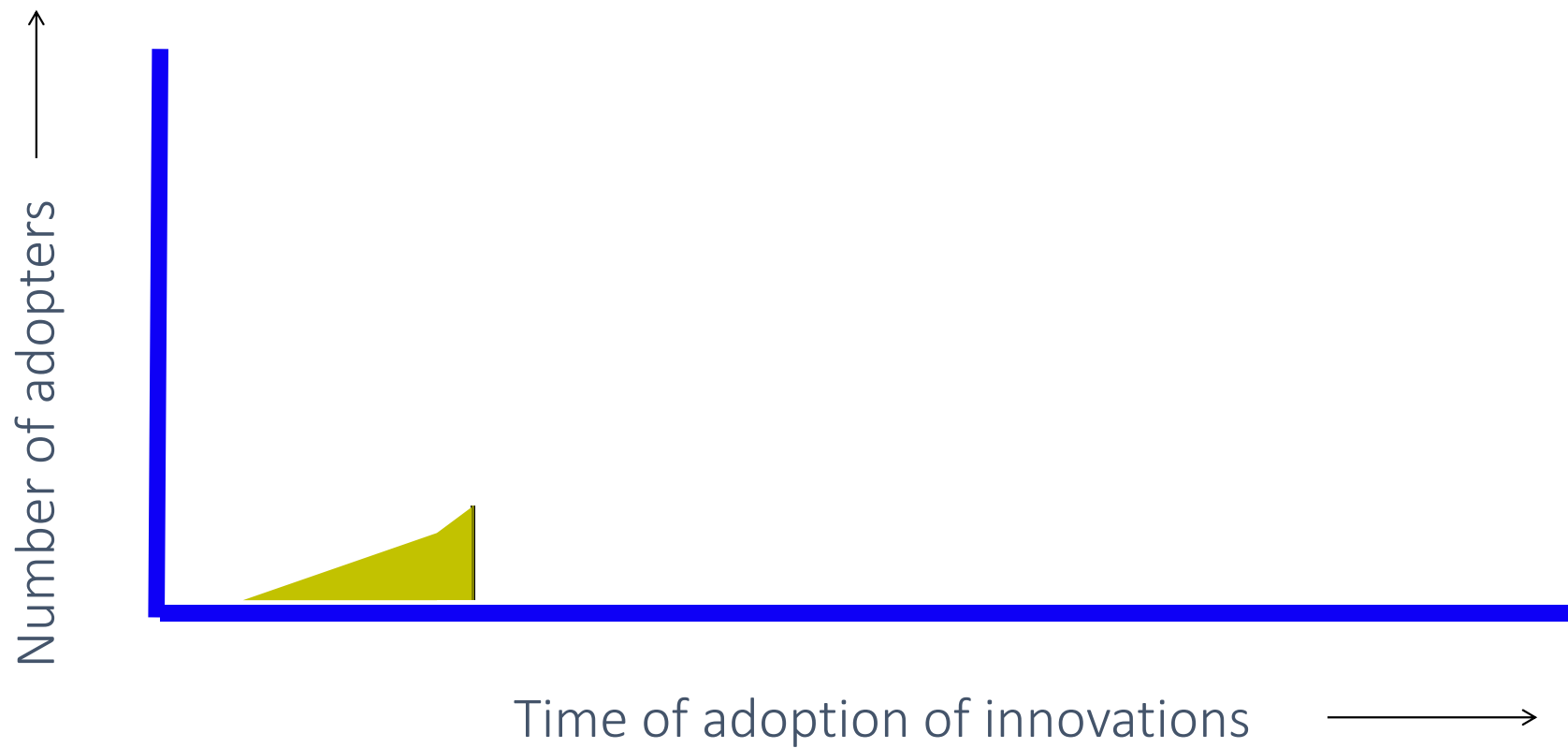
- Strategic aspects: Customers; their analysis; and how this relates to Company and Competitive analysis & strategy
- Customer analysis
 - Understanding customer needs: functional, emotional, aspirational & social
 - Market research and the research process
 - Customer segmentation (Bases & Descriptor variables; Cluster analysis)
 - Targeting (multi-factor targeting, behavioral targeting)
 - Positioning (perceptual map; design vs. marketing; positioning statement – ABC; Principal Components and Preference Mapping)
 - How does this relate to firm strategy?

Porter *What is Strategy?*

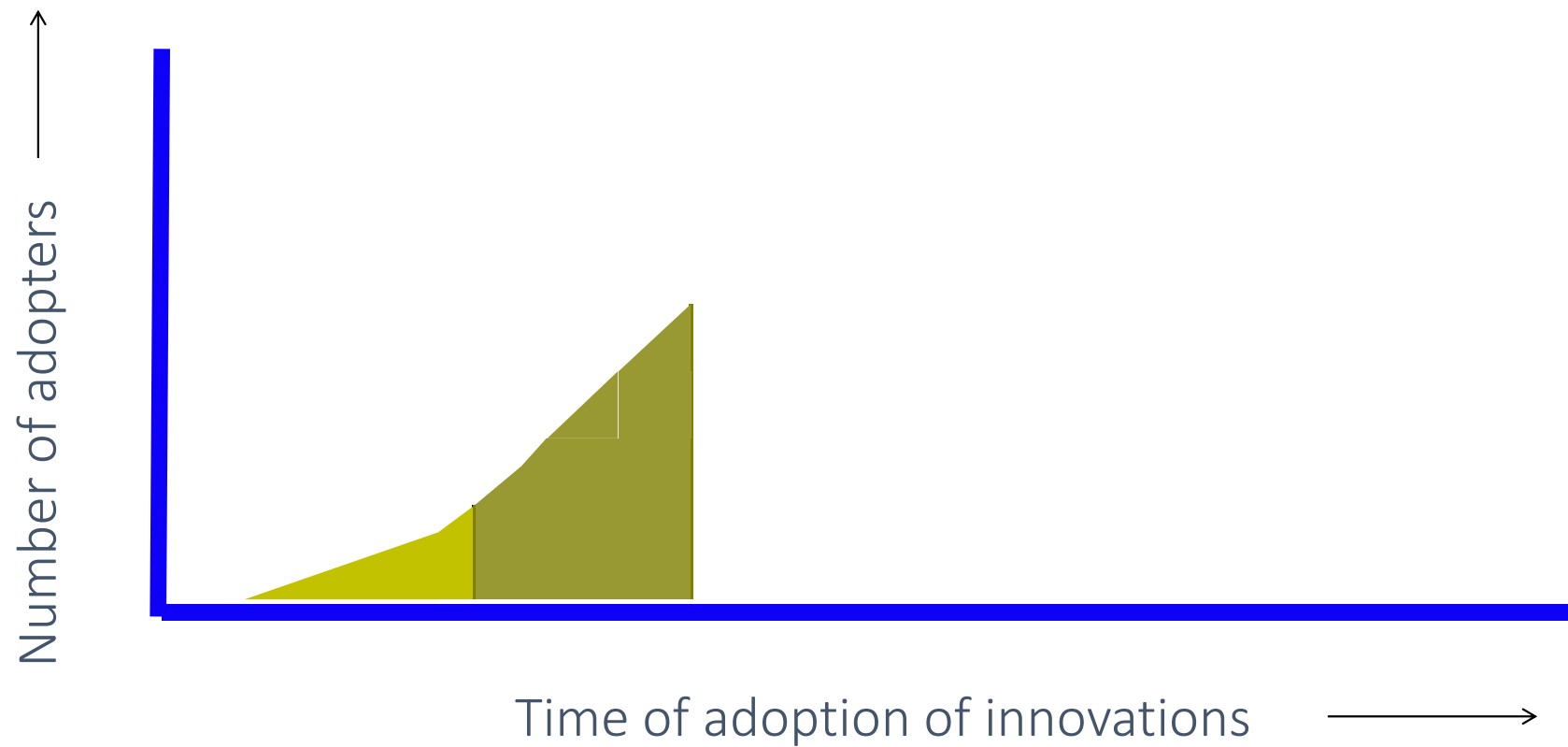
Reflects Porter's thinking post his 5-forces analysis

1. Defining and communicating the company's unique positioning
 2. Making tradeoffs (embrace / avoid)
 3. Forging a fit among firm's activities
- Markets in "equilibrium"?
 - At the same time, markets that involve new technologies evolve over time

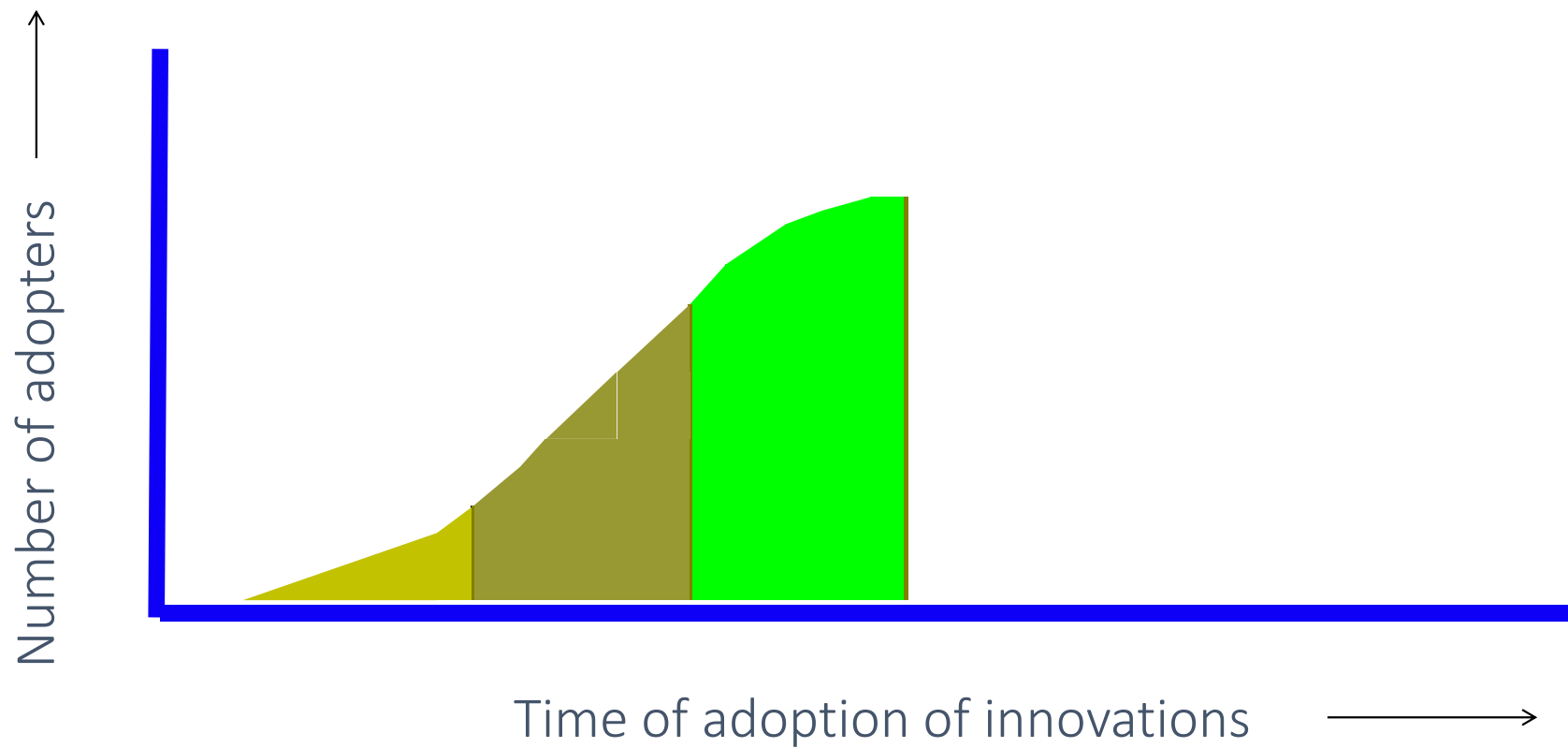
Segment evolution over time: Product life cycle



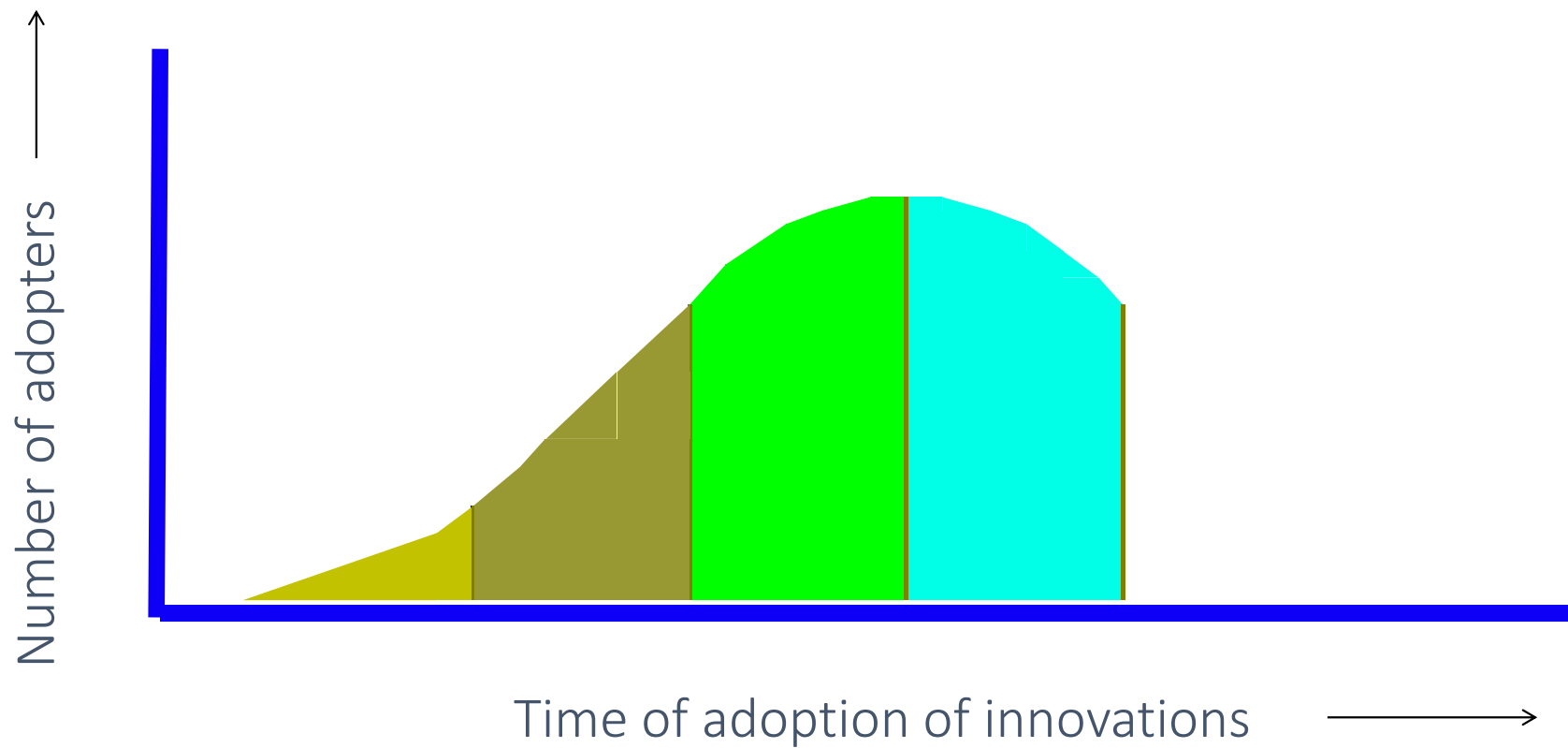
Segment evolution over time: Product life cycle



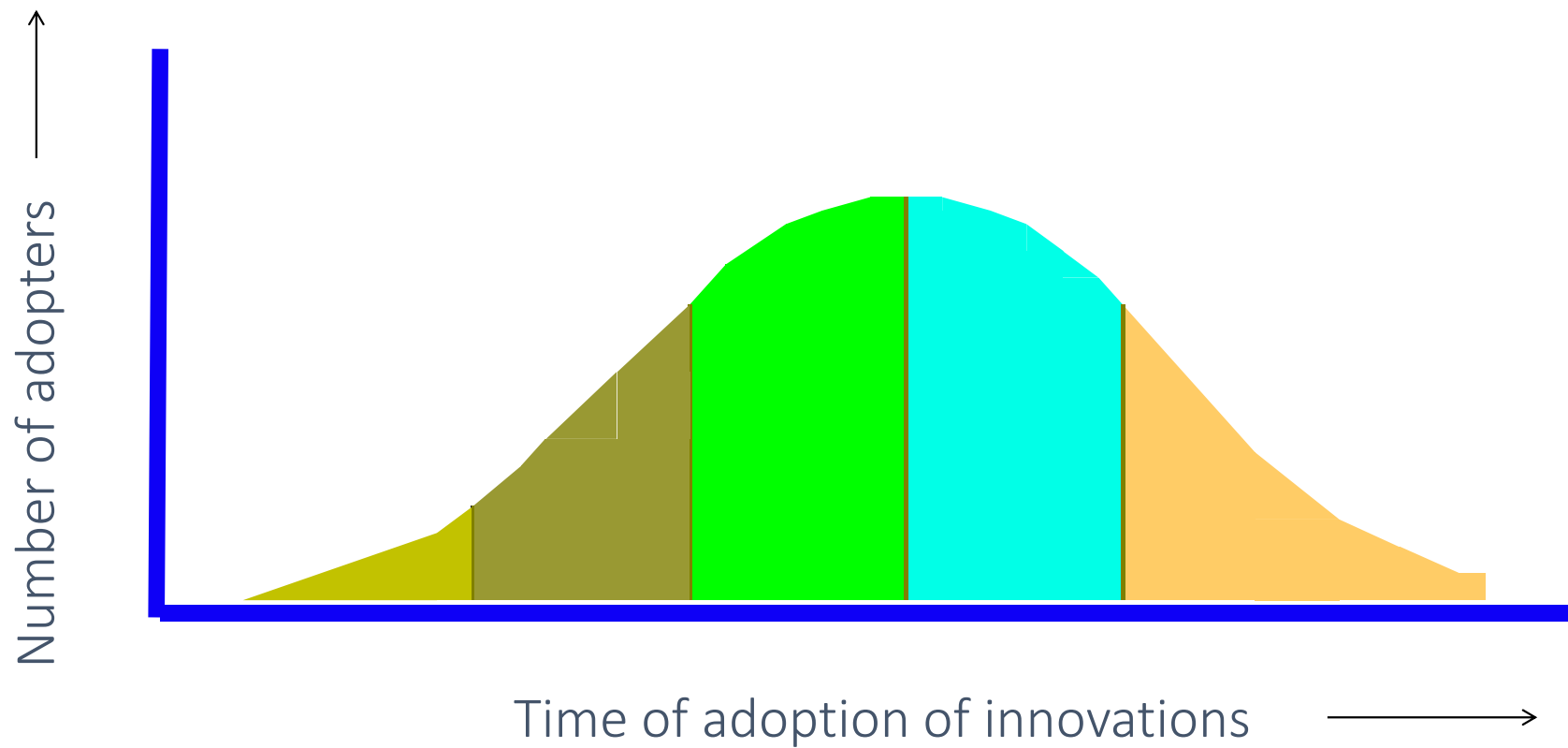
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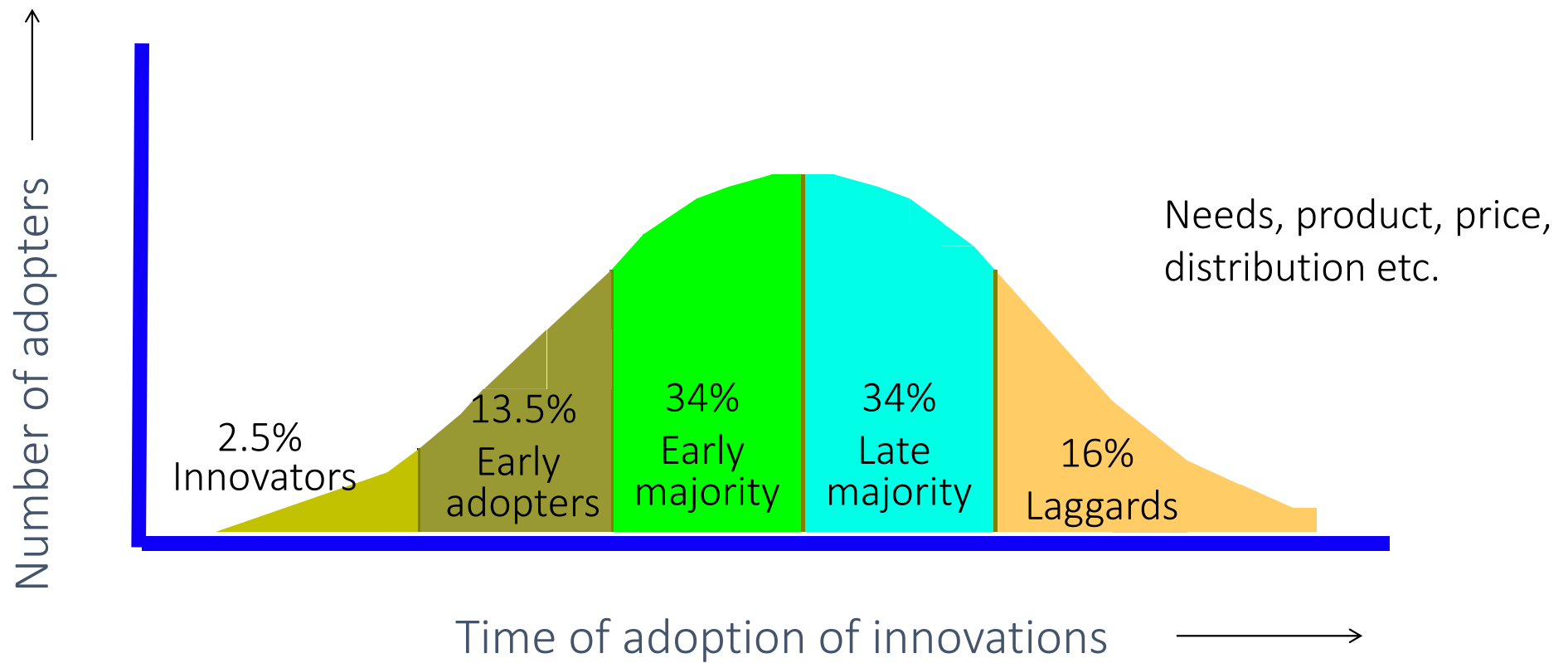
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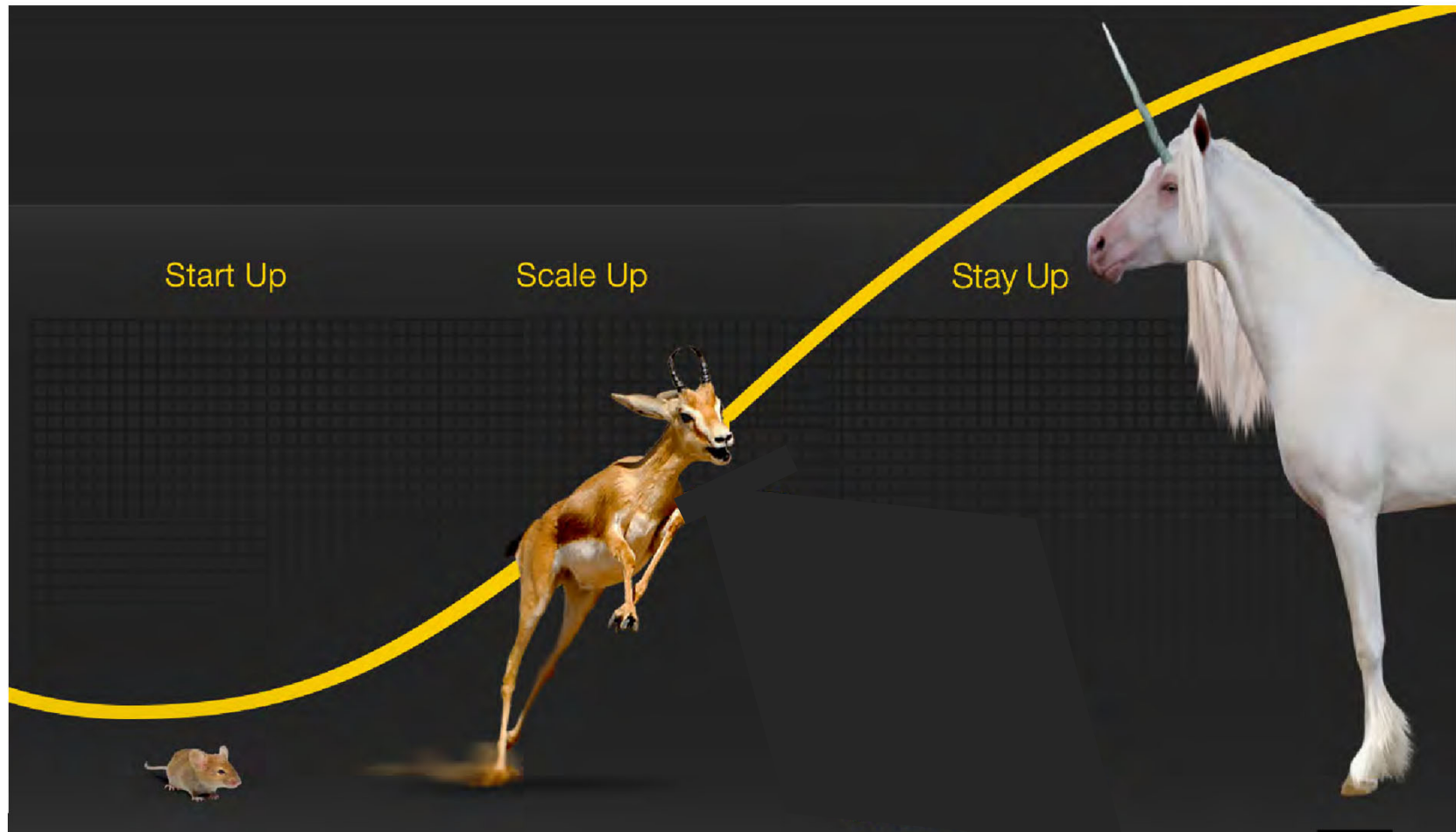
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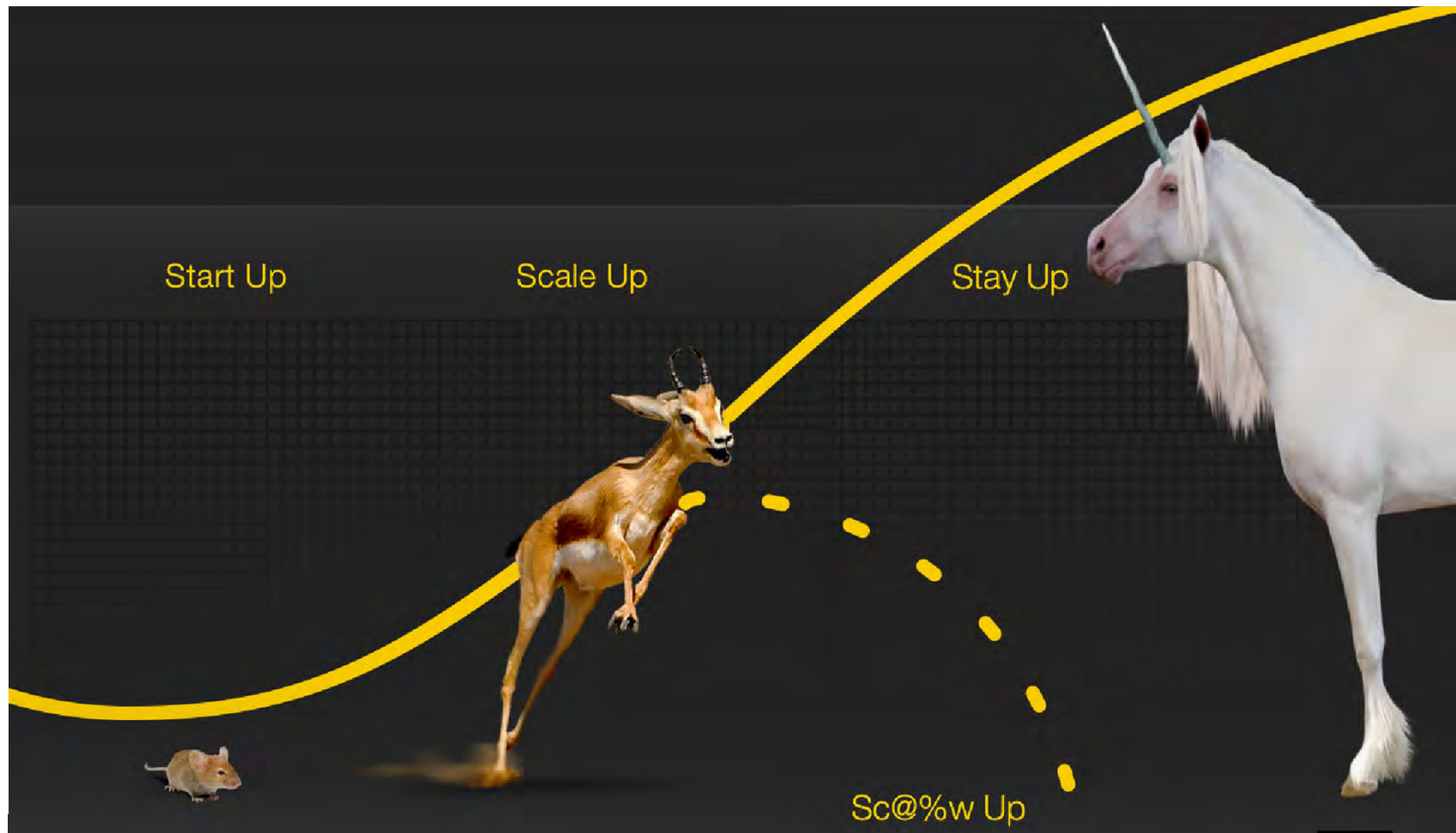
Segment evolution over time: Product life cycle



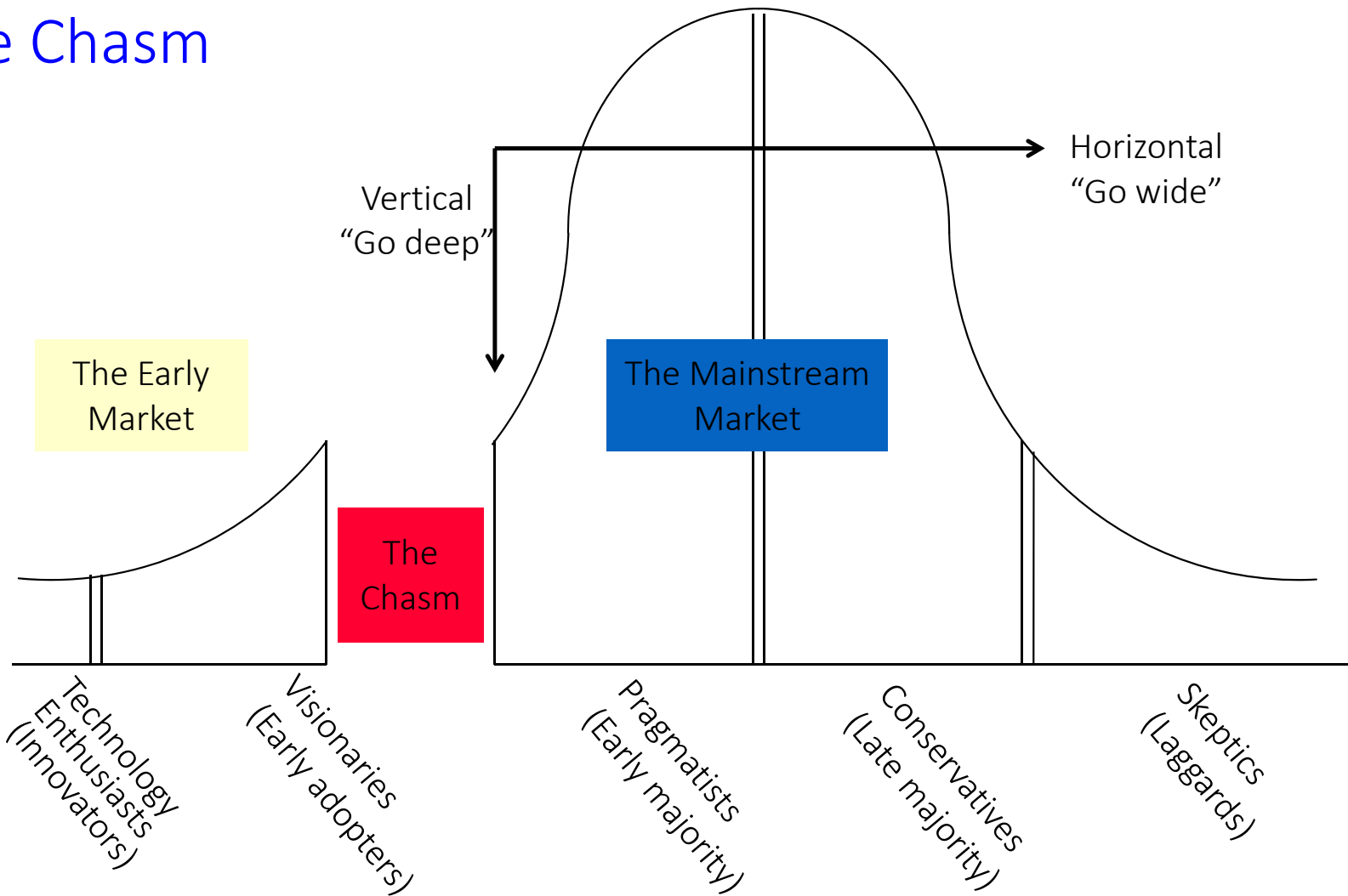
Startup life cycle



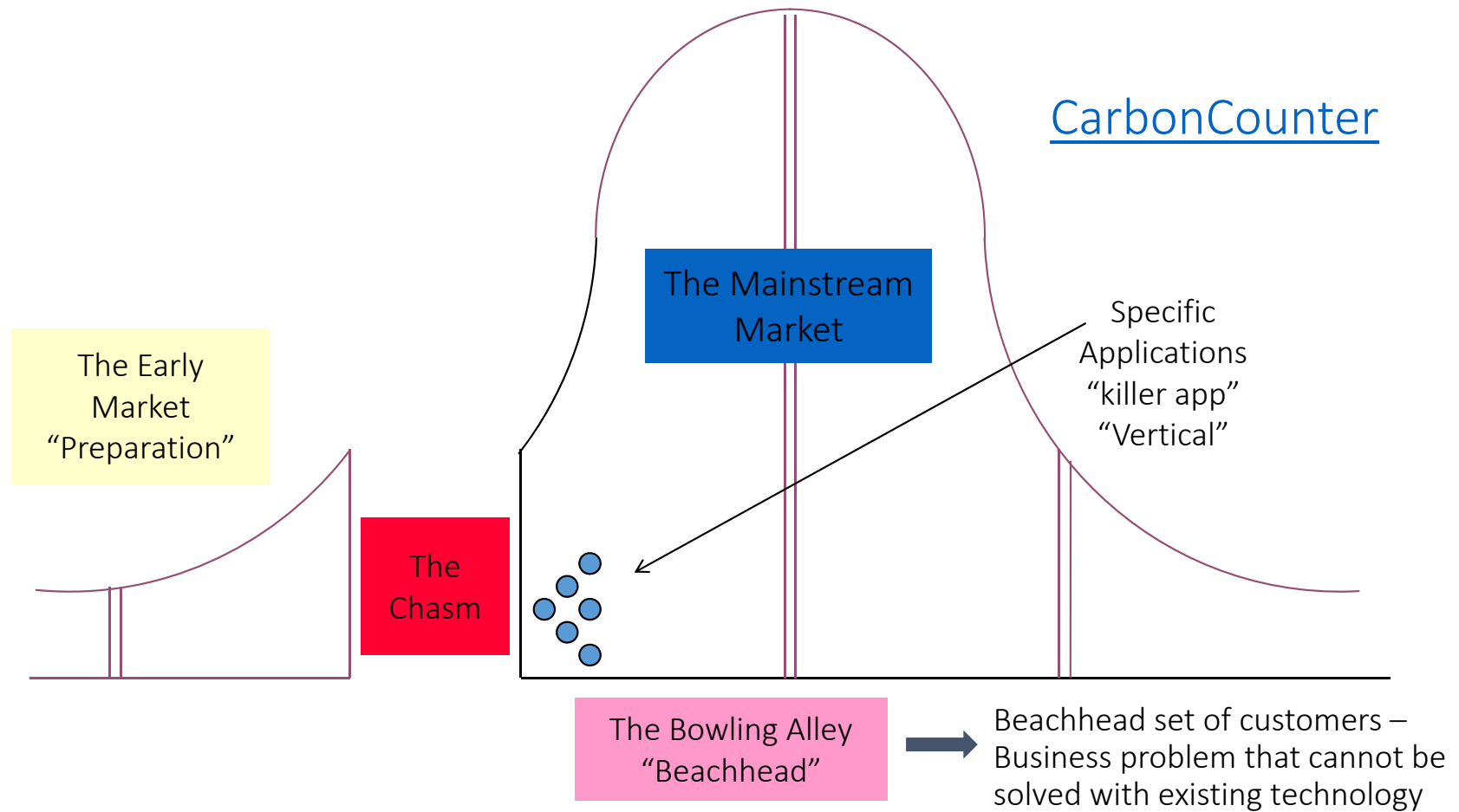
Startup life cycle



The Chasm

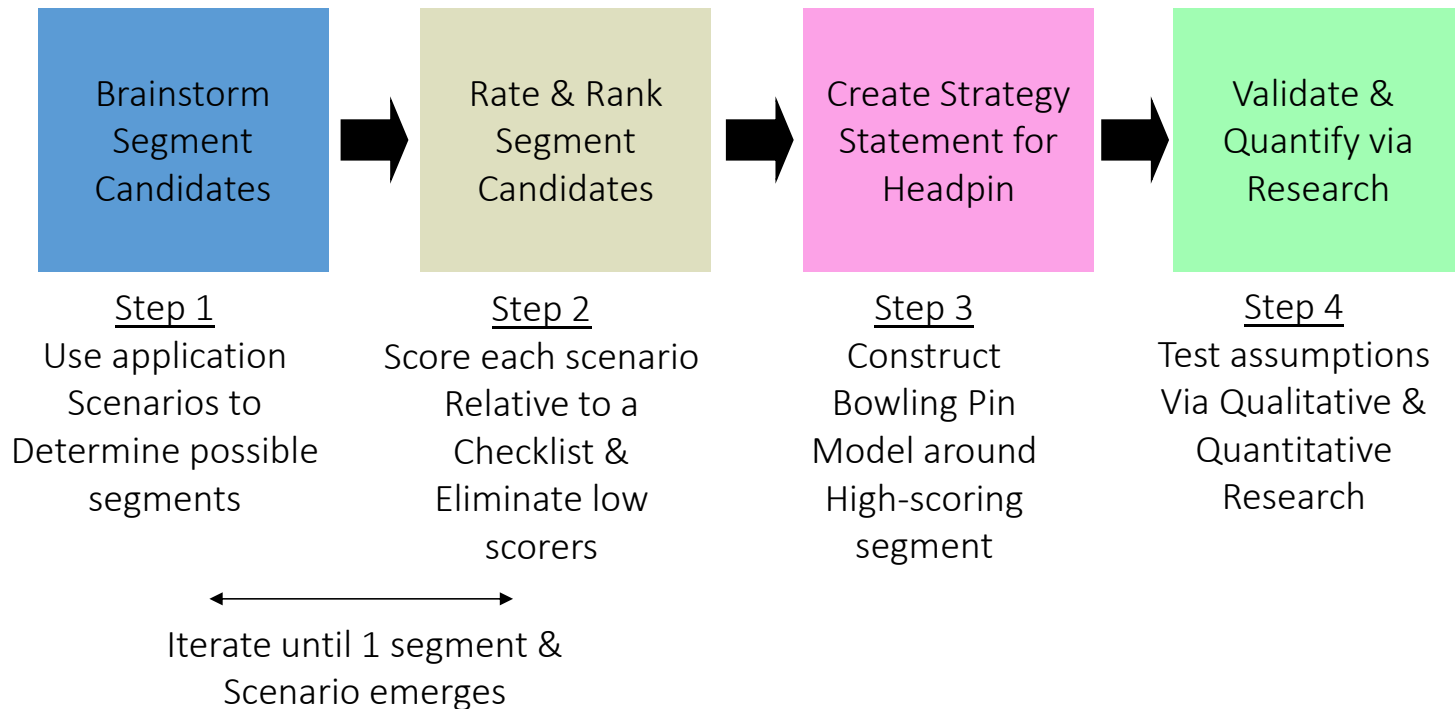


Landscape of Technology Adoption Life Cycle

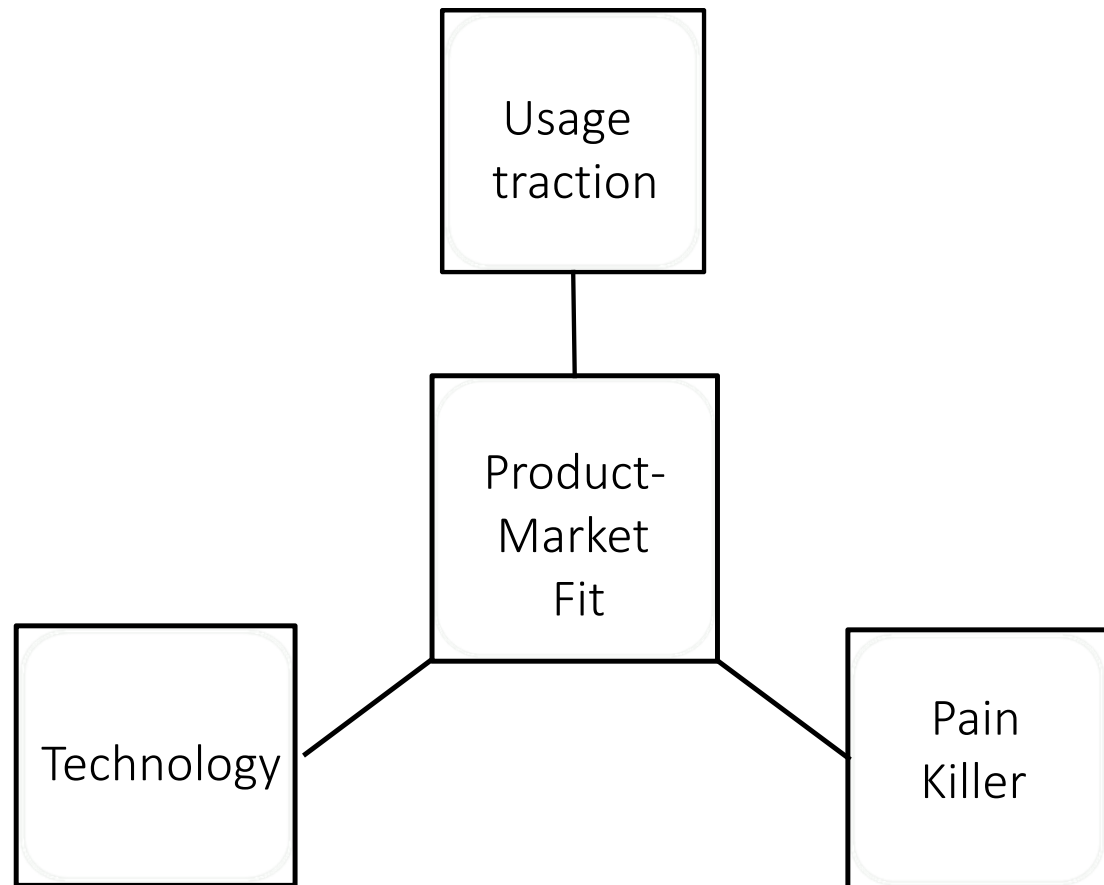


The Bowling Alley & “Niche” Segments

- Microsoft Exchange Server – Boeing
- Documentum – Document Management System: Boeing -> NDA
- For startups – need to leverage limited resources most effectively



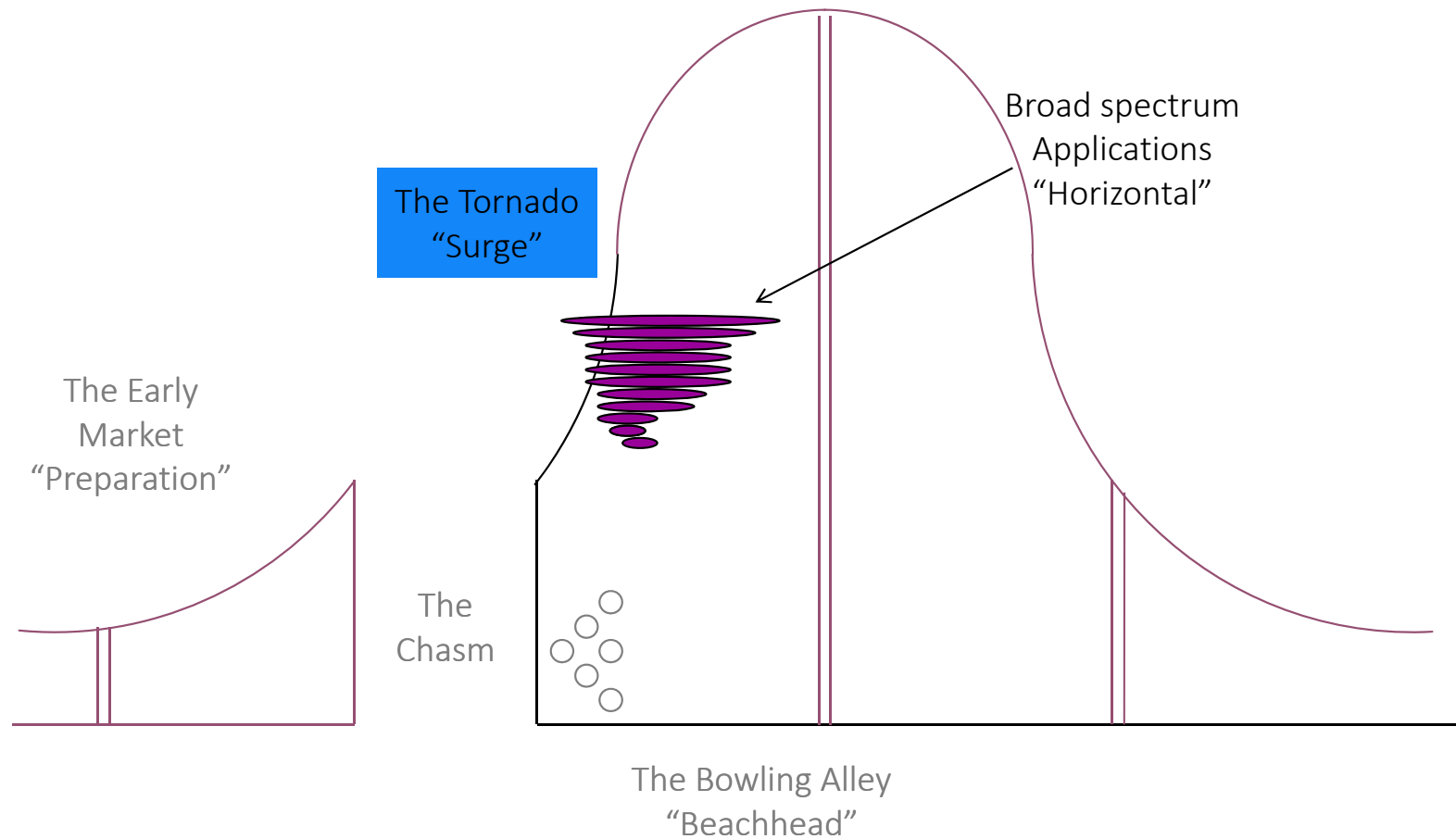
Bowling Alley / Beachhead Issues



What happens after the Alley? WSJ - 14 April 2017

- Soon after joining Instagram (started 2010) as chief operating officer two years ago, Marne Levine asked to see its annual budget at a team meeting. The room was quiet until another executive piped up: "What do you mean 'the budget'?"
- Ms. Levine has skills that are in high demand in Silicon Valley, where startups often struggle to get past their adolescence
- "We want to be the 10x company," says Ms. Levine, 46 years old. "That means we need to think carefully about how we set up our operations, how we grow and how we scale."

Landscape of Technology Adoption Life Cycle



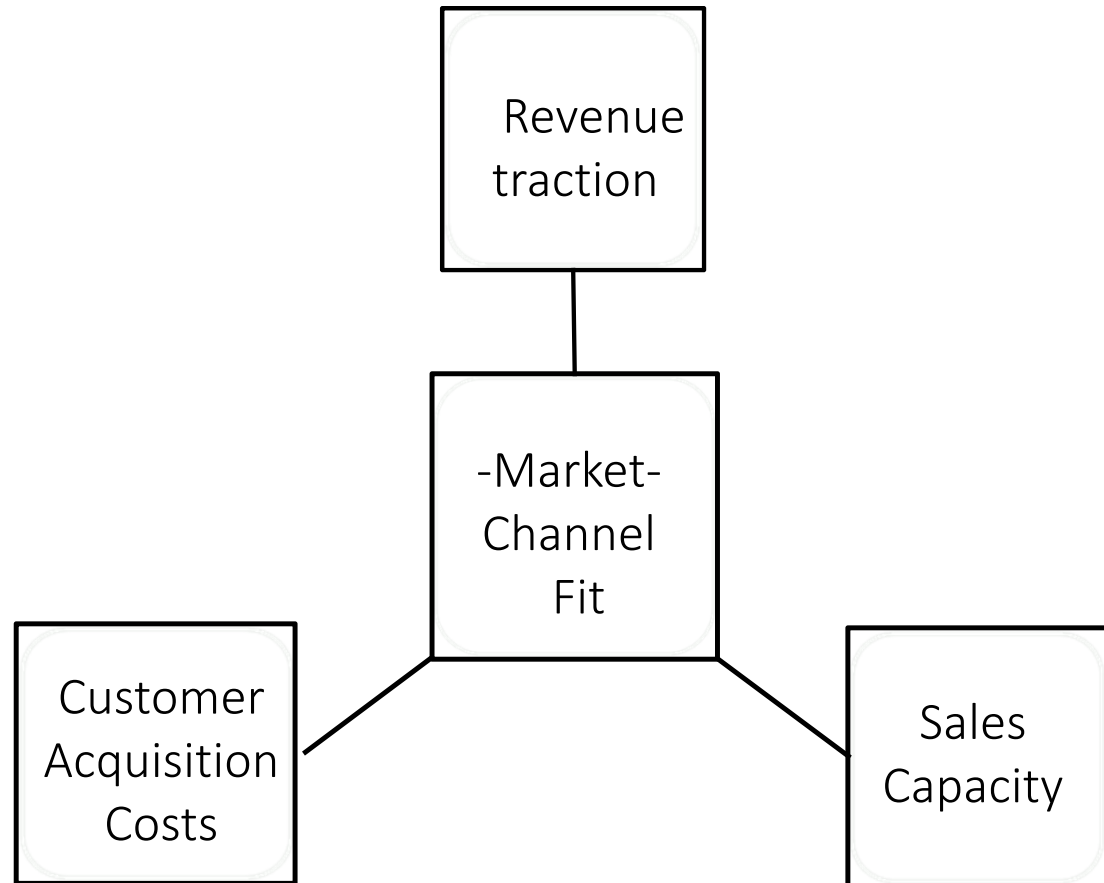
So what should company do during the surge?

- Make sure you can ship enough product to meet demand (what skill is needed?)

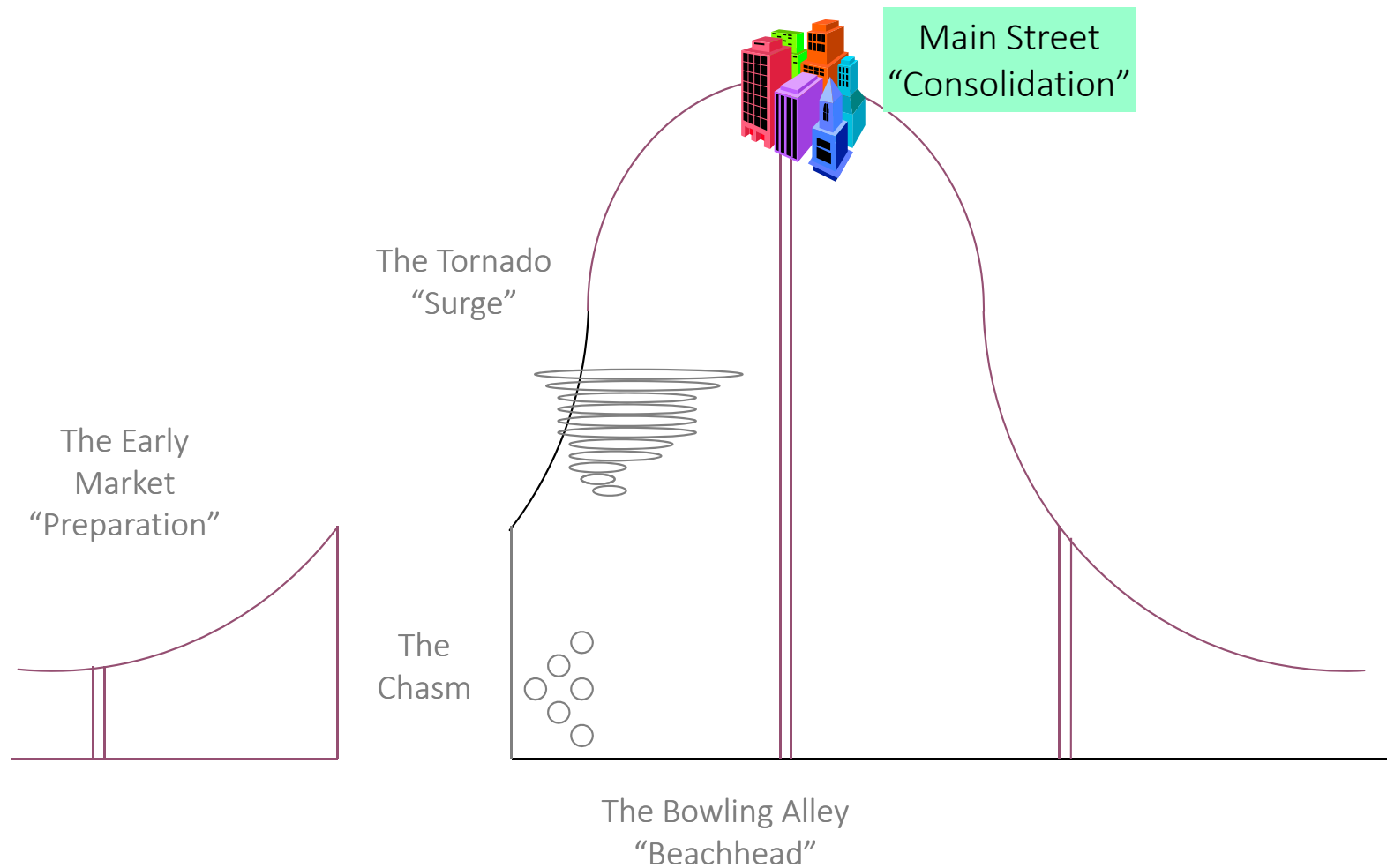
So what should company do during the surge?

- Make sure you can ship enough product to meet demand (what skill is needed?)
- Have the best design but typically standardized so as to appeal to the large base of pragmatists
- Keep standards fixed, i.e., do not change the underlying technology

Tornado / Surge Issues

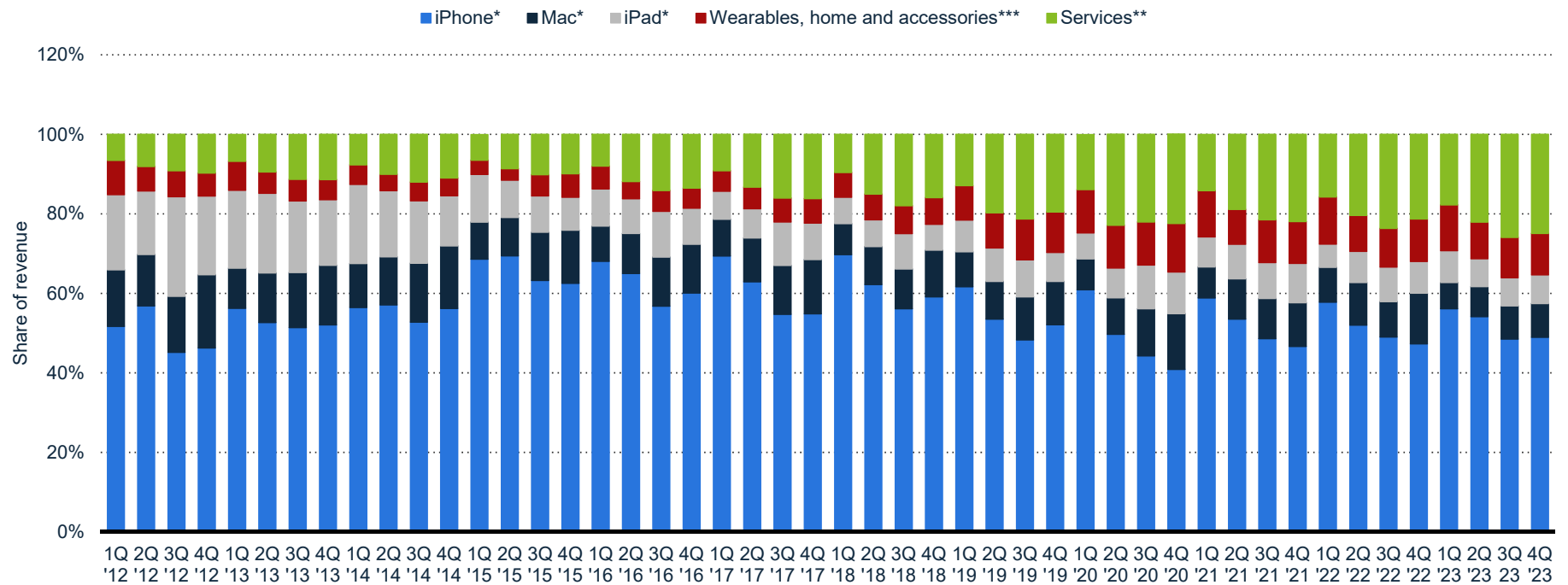


Landscape of Technology Adoption Life Cycle



Share of Apple's revenue by product category

Apple's revenue share by operating segment 2012-2023, by quarter



Note(s): Worldwide; 2012 to 2023

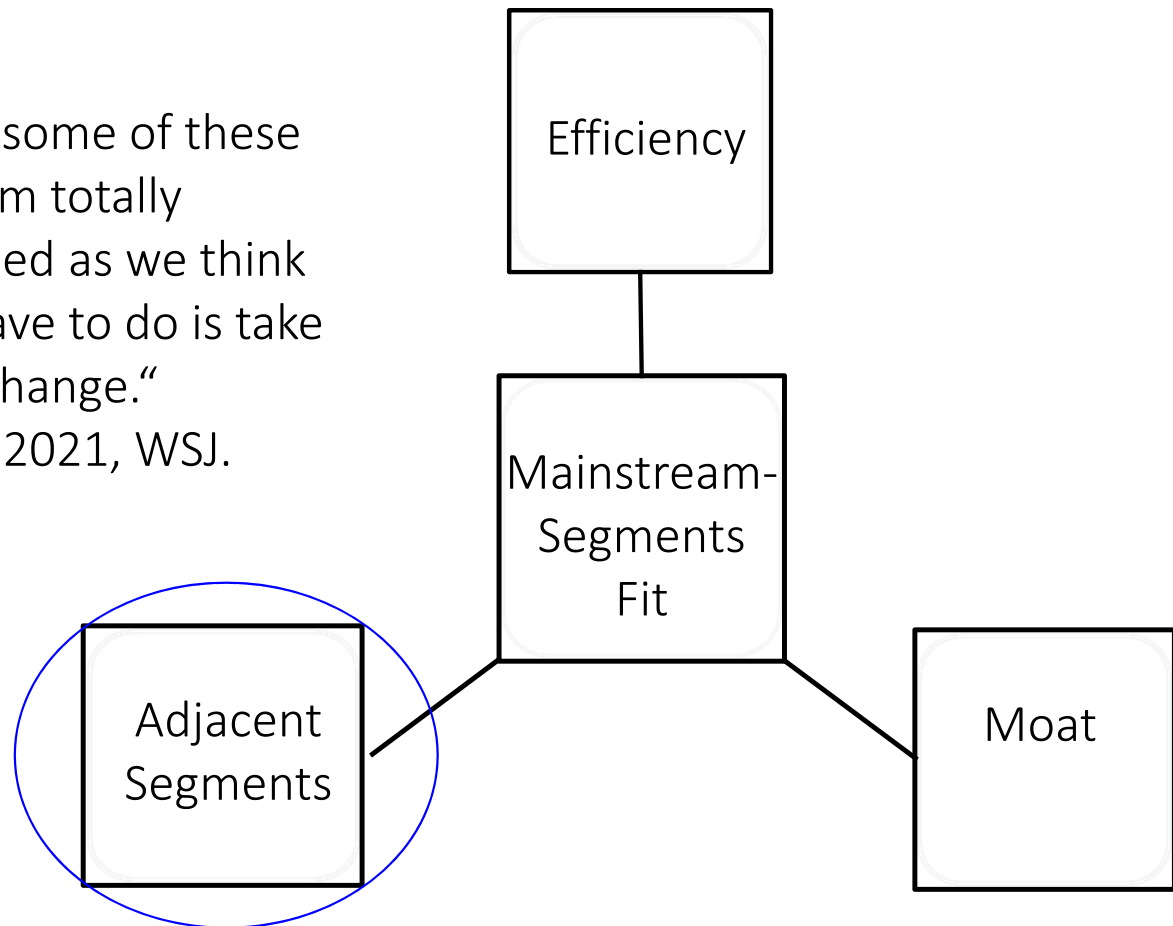
Further information regarding this statistic can be found on [page 8](#).

Source(s): Apple; Statista; [ID 382260](#)

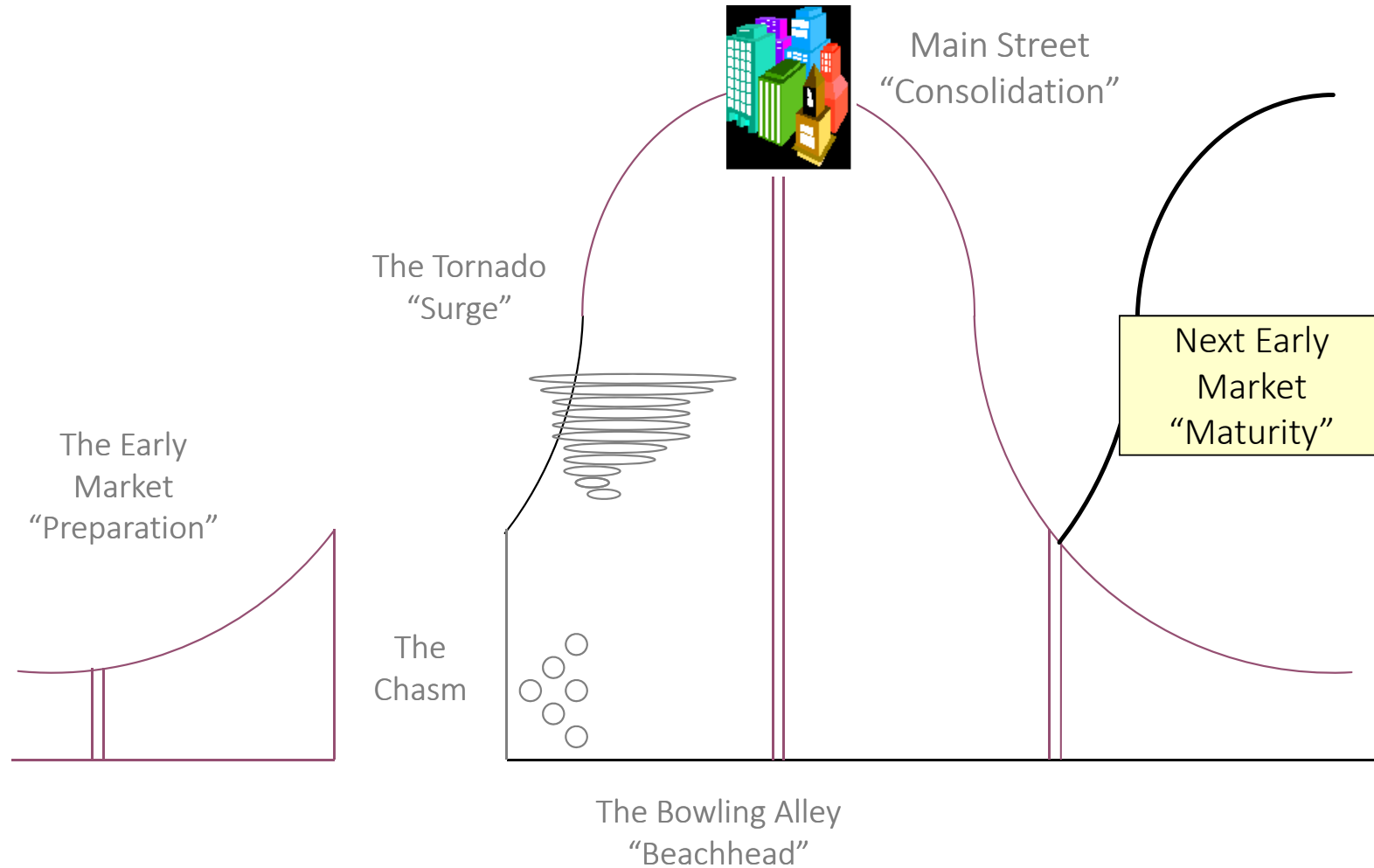
Mainstream/ Consolidation Issues

"We're in this weird time where some of these tech names and their moats seem totally impenetrable," "But as entrenched as we think the FAANG names are, all you have to do is take a look at IBM to know that can change."

- Ross Mayfield @ Baird, Jan 23, 2021, WSJ.



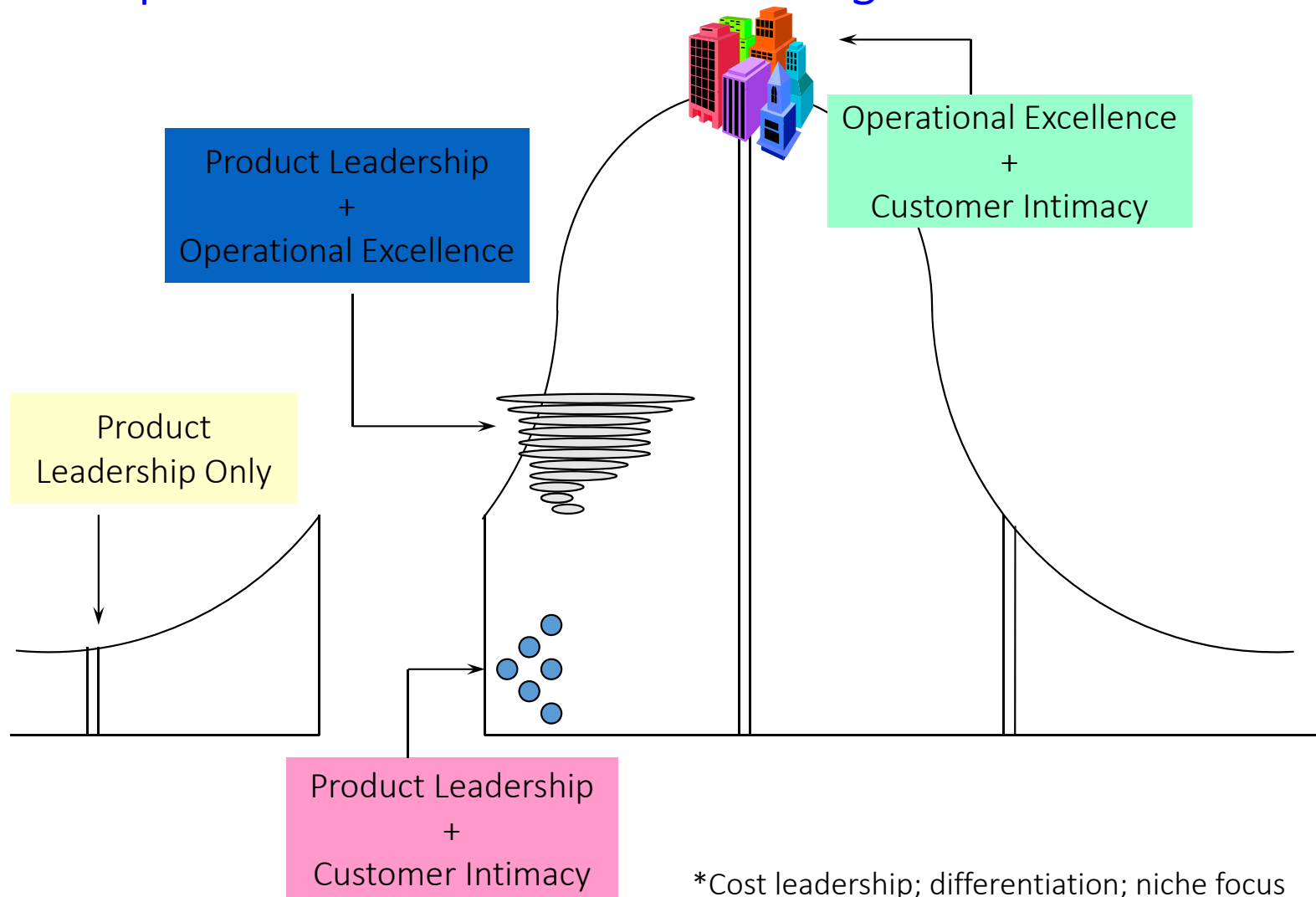
Landscape of Technology Adoption Life Cycle



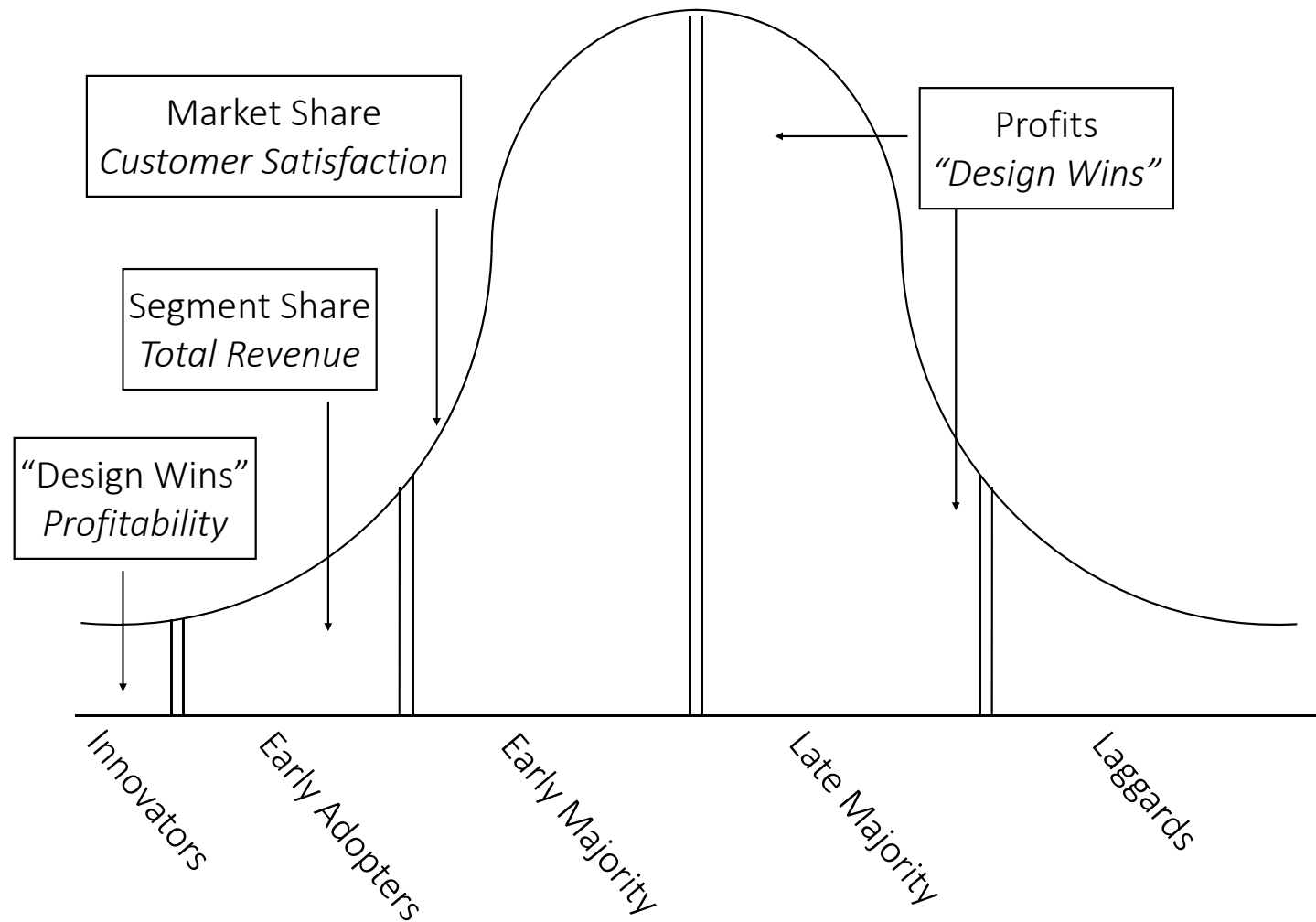
Company Strategy & Implications of TALC

- Bowling alley argues for *customer-centric niche* strategies
- Tornado forces push in opposite direction towards *mass market*
- Main street forces push back towards *customer-centric focus*
- Given the reversals in strategy, firm should be acutely aware of its PLC stage
- Moving fluidly from strategy to strategy is the ultimate challenge to organization; Demands extremely flexible responses from management team

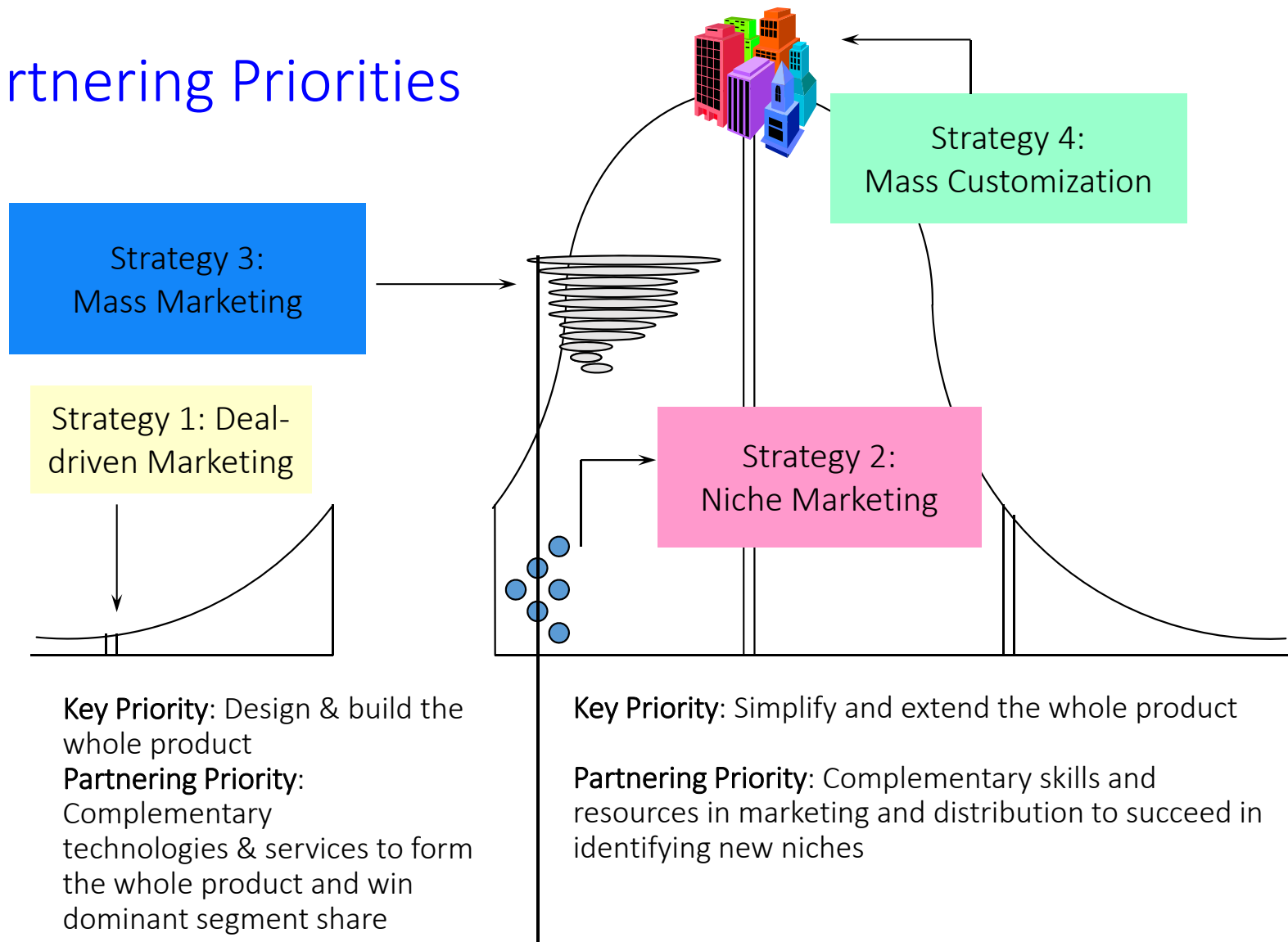
Relationship to Porter's *Generic strategies**



Objectives: Metrics (Maximize) & Anti-metrics (Manage)



Partnering Priorities



Types of Acquisitions

- Type I: (i) Acquiring company leverages its understanding of market, customer relationships and channels, (ii) acquired company provides a new product platform
 - *Our ideal acquisition is a small start-up that has a great technology product on the drawing board that is going to come out in 6-12 months. We buy the engineers and the next generation product. Then we blow it through our distribution channels and leverage our manufacturing and distribution skills* John Chambers, Cisco
- Type II: Acquiring company is trying to add technology and technical skills rather than buy a new product platform - designing the “complete” solution
 - Feb 2022 – Cisco purchase of Splunk (security & BI software) - Downstream
- Type III: Acquiring market experience and channel capabilities to enter a new market

Platforms and their features



Key takeaways: Dynamics of strategy & How segments evolve

- TALC rests on the fundamental principles of the PLC
- Technologies fail for many reasons - Network effects, standards, the Chasm
- A major challenge is that innovators and early adopters are different from the early majority who are pragmatists – they want the new technology to fulfill a specific need
- In the chasm need to show that you have a 100% solution for a specific need and you can meet it better than current solution for at least one small niche in the mass market
- Use referencability of the head bowling pin to knock down others
- Momentum across niches leads to the days of heady growth. Make sure you have enough production and that you do not change standards since you are selling a standardized product to the mass market.
- Once market starts to slow down we are in main street where differentiating the product for the discerning customer (segment) is in vogue again.
- Different strategic priorities, cultures, partnerships and metrics provide a challenge when dealing with the TALC

Competitive Advantage Hierarchy:

Or how does this relate to our Competitive Strategy class?

